

were able to acquire the shares made it a good value. Purchasing shares in a durable, good quality business that is growing faster than the market but trades at a discount should be a recipe for making money over time.

Finding opportunities with asymmetric risk/reward ratios and better than a 50/50 likelihood of a favorable outcome should improve one's slugging percentage. We believed that was the case with Microsoft, where we felt the odds of success had been miscalculated. The downside would have been limited even if earnings had fallen below our estimates, providing a margin of safety, while the potential for upside was sizable. We also believed the prospects for corporate success improved further once new leadership was put in place in 2014.

Nonetheless, there will always be mistakes while abiding by this process. There's an old Yiddish adage, *Mann tracht, un Gott lacht*—"Man plans, and God laughs." New competitors emerge and disrupt. Venerable competitors raise their game. Management makes mistakes. The macroeconomic environment unleashes a surprise. Since the world is in a constant state of flux, it is imperative to regularly revisit an investment thesis and actively seek reconfirmation.

I have made my share of mistakes. Investments in Circuit City, Semi-Tech Global, and Consecro were all sold at a loss. I failed to properly weigh such crucial elements as changing competition, weak management, and poor underwriting.

Being good at investing doesn't mean batting 1,000; even Major League Baseball's All-Stars get on base only 30% of the time. One of my former partners, Bob Rodriguez, managed the FPA Capital Fund and delivered the best performance of any diversified mutual fund over the quarter century between 1984 and 2010, yet he also had two positions that went to zero. Accepting that you will make some big mistakes is part of investing.

Since we believe investors cannot successfully "time" the market, we believe cash should be the residual component of the investment process. When there are no compelling opportunities at hand, we